

Document
Exhibit 10-hh
THIRD AMENDED AND RESTATED
LIMITED LIABILITY COMPANY AGREEMENT
OF
AT&T FIBER INVESTMENT, LLC,
a Delaware Limited Liability Company
TABLE OF CONTENTS

Page

SECTION 1 THE COMPANY

 2

1.1

Formation; No State-Law Partnership

2

1.2

Name

2

1.3

Purpose; Powers

2

1.4

Principal Place of Business

2

1.5

Term

3

1.6

Filings; Agent for Service of Process

3

1.7

Title to Assets

3

1.8

Payments of Individual Obligations

3

1.9

Outside Activities

3

1.10

Authorization

3

1.11

Definitions

3

1.12

Other Terms

25

SECTION 2 MEMBERS’ CAPITAL CONTRIBUTIONS AND CAPITAL ACCOUNTS

26

2.1

Capital Contributions

26

2.2

Additional Contributions

27

2.3

Other Matters; Capital Accounts

2

8

2.4

Additional Issuances

29

SECTION 3 ALLOCATIONS

29

3.1

Profits and Losses

29

3.2

Special Allocations

30

3.3

Curative Allocations

31

3.4

Loss Limitation

3

1

3.5

Other Allocation Rules

32

3.6

Tax Allocations: Code Section 704(c)

32

SECTION 4 DISTRIBUTIONS

3

2

4.1

Amounts Distributed

3

2

4.2

Tax Withholding

3

3

4.3

Limitations on Distributions

3

5

4.4

Distributions and Payments to Members

3

5

SECTION 5 MANAGEMENT; OPERATIONS

3

5

5.1

Authority of the Managing Member

3

5

5.2

Independent Managers

3

6

 -i-

5.3

Managing Member and Officer Liability

3

7

5.4

Limitations on the Company's Activities; Certain Separateness Covenants

37

5.5

Certain Other Covenants

4

0

5.6

Compensation; Expenses

4

4

5.7

Withdrawal

4

4

5.8

Portfolio Requirements

4

5

5.9

Officers

4

5

SECTION 6 ROLE OF MEMBERS

4

6

6.1

Rights or Powers

4

6

6.2

Voting Rights

4

6

6.3

Meetings and Consents of the Members

4

6

6.4

Withdrawal/Resignation

4

7

6.5

Member Compensation

4

7

6.6

Members’ Liability

4

7

6.7

Indemnification

4

7

6.8

Confidentiality

4

9

6.9

Partition

5

0

6.10

Transactions Between a Member and the Company

5

0

SECTION 7 PREFERRED RETURN RESETS AND REMARKETINGS

5

0

7.1

Class A Preferred Return Rate Reset

5

0

SECTION 8 COVENANTS

5

3

8.1

Covenants

5

3

SECTION 9 ACCOUNTING, BOOKS, AND RECORDS

5

3

9.1

Accounting, Books, and Records

5

3

9.2

Reports

5

4

9.3

Rule 144A Information

5

6

9.4

Tax Matters

5

6

SECTION 10 AMENDMENTS

5

7

10.1

Amendments

5

7

SECTION 11 TRANSFERS; PURCHASE

5

8

11.1

Restriction on Transfers

5

8

11.2

Permitted Transfers

5

8

11.3

Conditions to Permitted Transfers

5

9

11.4

Prohibited Transfers

6

0

 -ii-

11.5

Rights of Unadmitted Assignees

6

0

11.6

Admission as Substituted Members

6

1

11.7

Distributions and Allocations in Respect of Transferred Membership Interests

6

3

SECTION 12 POWER OF ATTORNEY

6

3

12.1

Managing Member as Attorney-In-Fact

6

3

12.2

Nature of Special Power

6

3

SECTION 13 DISSOLUTION AND WINDING UP

6

4

13.1

Liquidation Event

6

4

13.2

Winding Up

6

5

13.3

Deficit Capital Accounts; Reserves

6

6

13.4

Rights of Members

6

6

13.5

Guaranteed Payments During Period of Liquidation

6

6

13.6

Allocations and Distributions During Period of Liquidation

6

7

13.7

Liquidating Distributions

6

7

13.8

The Liquidator

6

7

SECTION 14 NOTICE EVENTS

6

7

14.1

Notice Events

6

7

14.2

Liquidation Event Notice

6

8

14.3

Enforcement of Rights with respect to Contributed Notes and other Transaction Documents

6

8

SECTION 15 REDEMPTION

6

9

15.1

Optional Redemption

6

9

15.2

Redemption Process

6

9

15.3

Treatment as Purchase Under Section 741

7

0

SECTION 16 ADMINISTRATIVE AGENT

7

0

16.1

Authorization and Authority

7

0

16.2

Administrative Agent Individually

7

0

16.3

Duties of Administrative Agent; Exculpatory Provisions

7

1

16.4

Reliance by Administrative Agent

7

1

16.5

Delegation of Duties

7

2

16.6

Resignation of Agent

7

2
16.7

Non-Reliance on Administrative Agent and Other Class A Limited Members

7

3
16.8

Fees; Indemnification

7

3
 -iii-
SECTION 17 MISCELLANEOUS

7

3
17.1

Notices

7

3
17.2

Binding Effect

7

4
17.3

Construction

7

4
17.4

Time

7

4
17.5

Headings

74

17.6

Severability

7

4

17.7

Governing Law

7

4

17.8

Consent to Jurisdiction

7

4

17.9

WAIVER OF JURY TRIAL

7

5

17.10

Counterpart Execution

7

5

17.11

Specific Performance

7

5

17.12

Entire Agreement

7

5

17.13

No Third Party Beneficiaries

7

5

17.14

Waiver

7

5

17.15

Non-Petition

7
6

17.16

Non-Business Days

7
6

17.17

Recognition of U.S. Special Resolution Regimes

7
6

EXHIBITS

Exhibit A Form of Demand Note

Exhibit B Form of Secured Note

Exhibit C Form of Keep Well Agreement

Exhibit D Form of Class A Mandatory Remarketing Agreement

Exhibit E-1 Form of Class A-1 Limited Membership Interest Certificate

Exhibit E-2 Form of Class A-2 Limited Membership Interest Certificate

Exhibit E-3 Form of Class A-3 Limited Membership Interest Certificate

Exhibit E-4 Form of Class B Common Membership Interest Certificate

Exhibit F Form of Independent Manager Management Agreement

SCHEDULES

Schedule A Membership Registry

Schedule B Borrowers

 -iv-

THIRD AMENDED AND RESTATED

LIMITED LIABILITY COMPANY AGREEMENT

OF

AT&T FIBER INVESTMENT, LLC

This THIRD AMENDED AND RESTATED LIMITED LIABILITY COMPANY AGREEMENT (this “
Agreement

”) of AT&T Fiber Investment, LLC, a Delaware limited liability company (the “
Company

”), is entered into as of April 18, 2023, by and among AT&T Fiber Investment Holdings, LLC,
a Delaware limited liability company, as the Managing Member and a Class B Common Member, the Class
A Limited Members listed on

Schedule A

attached hereto and Bernard J. Angelo and Kevin J. Corrigan, as the Independent Managers, pursuant to
the provisions of the Act, on the following terms and conditions (capitalized terms used herein without
definition shall have the meanings specified in

Section 1.11

);

WHEREAS

, the Company was formed as a limited liability company under and pursuant to the provisions of the Act
and upon the terms and conditions set forth in the Limited Liability Company Agreement of the Company,
dated as of September 17, 2020 (the “
Original LLC Agreement

”), with the Managing Member becoming at that time the sole member of the Company owning one hundred percent (100%) of the limited liability company interest in the Company in consideration of a capital contribution of \$100.00;

WHEREAS

, the Members amended and restated the Original LLC Agreement in its entirety as set forth in the Amended and Restated Limited Liability Company Agreement of the Company, dated as of September 29, 2020 (as amended by the Amendment to the Amended and Restated Limited Liability Company Agreement of the Company, dated as of December 1, 2020 (the “

Amendment

”), the “

2020 LLC Agreement

”);

WHEREAS

, the Members amended and restated the 2020 LLC Agreement in its entirety as set forth in the Second Amended and Restated Limited Liability Company Agreement of the Company, dated as of April 4, 2023 (the “

Existing Agreement

”);

WHEREAS

, pursuant to that certain Class A-3 Subscription Agreement, dated as of April 18, 2023 (the “

Class A-3 Subscription Agreement

”), by and among the Company and a certain Class A Limited Member (the “

Initial Class A-3 Limited Member

”), the Initial Class A-3 Limited Member has agreed to purchase Class A-3 Limited Membership Interests and to make Capital Contributions to the Company; and

WHEREAS

, in order to reflect (a) the issuance of Class A-3 Limited Membership Interests pursuant to the Class A-3 Subscription Agreement and the admission of additional Class A Limited Members to the Company as of the date of entry into this Agreement and (b) the transactions contemplated herein and in the other Transaction Documents, the Members have agreed to amend and restate the Existing Agreement in its entirety as set forth in this Agreement.

NOW THEREFORE

, in consideration of the mutual promises and covenants contained in this Agreement and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto hereby agree as follows:

SECTION 1

THE COMPANY

1.1

Formation; No State-Law Partnership

. The fact that the Certificate of Formation is on file in the office of the Secretary of State of the State of Delaware shall constitute notice that the Company is a limited liability company. Pursuant to Section 18-201(d) of the Act, the Original LLC Agreement was effective as of the date of the filing of the Certificate of Formation. From the date of this Agreement, the rights and liabilities of the Members shall be as provided under the Act, the Certificate of Formation, and this Agreement. To the extent that the rights, powers, duties, obligations and liabilities of any Member (in its capacity as such) are different by reason of any provision of this Agreement than they would be in the absence of such provision, this Agreement shall, to the extent permitted by the Act, control. The Members intend that the Company not be a partnership (including a limited partnership) or joint venture, and that no Member be a partner or joint venturer of any other Member, for any purposes (including Section 303 of the United States Federal Bankruptcy Code) other than tax purposes and that this Agreement may not be construed to suggest otherwise.

1.2

Name

. The name of the Company is AT&T Fiber Investment, LLC and all business of the Company shall be conducted in such name or, as determined by the Managing Member, under any other name, provided

that any such other name would not cause the Company to violate

Section 5.4

of this Agreement.

1.3

Purpose; Powers

.

(a)

The sole purposes of the Company are:

(i)

to conduct the Permitted Business; and

(ii)

to do such other things and engage in any other activities that are necessary, convenient, or incidental to the foregoing purpose.

(b)

The Company has the power to do any and all acts necessary, appropriate, proper, advisable, incidental, or convenient to, and in furtherance of, the purposes of the Company set forth in this

Section 1.3

and has any and all powers that may be exercised on behalf of the Company by the Managing Member pursuant to

Section 5

that are consistent with

Section 1.3(a)

.

1.4

Principal Place of Business

. The principal place of business of the Company shall be at 208 S. Akard Street, Room 1843, Dallas, Texas 75202. The Managing Member may change the principal place of business of the Company to any other place within or without the State of Delaware. The initial registered office of the Company in the State of Delaware is located at The Corporation Trust Company, 1209 Orange Street, Wilmington, New Castle County, Delaware 19801.

1.5

Term

. The term of the Company commenced on the date the Certificate of Formation was filed in the office of the Secretary of State of the State of Delaware in accordance with the Act and shall continue until the dissolution and the completion of the winding up of the Company in accordance with

Section 13

. The existence of the Company as a

 -2-

separate legal entity and this Agreement shall continue until the cancellation of the Certificate of Formation in accordance with the Act.

1.6

Filings; Agent for Service of Process

.

(a)

The Managing Member, or an agent of the Managing Member, was authorized to execute and cause the Certificate of Formation to be filed in the office of the Secretary of State of the State of Delaware as an authorized person within the meaning of, and otherwise in accordance with, the Act.

(b)

The registered agent for service of process on the Company in the State of Delaware shall be The Corporation Trust Company or any successor as appointed by the Managing Member in accordance with

the Act.

(c)

Upon the dissolution and completion of the winding up of the Company in accordance with and subject to

Section 13

, the Liquidator, as an authorized person within the meaning of the Act, shall promptly execute and cause to be filed a Certificate of Cancellation in accordance with the Act and the laws of any other jurisdictions in which the Liquidator deems such filing or any similar filing to be necessary or advisable.

1.7

Title to Assets

. All Property owned by the Company shall be owned by the Company as an entity, and all Property owned by any Subsidiary of the Company shall be owned by such Subsidiary, and no Member shall have any ownership interest in such assets in its individual name. Each Member's Membership Interest in the Company shall be personal property for all purposes. The Company shall hold title to all of its assets in the name of the Company, and each Subsidiary of the Company shall hold title to all of its assets in the name of such Subsidiary, and in each case not in the name of any Member.

1.8

Payments of Individual Obligations

. The Company's credit and assets shall be used solely for the benefit of the Company, and no asset of the Company shall be transferred in satisfaction of, or encumbered for, or in payment of, any individual obligation of any Member.

1.9

Outside Activities

. Neither this Agreement nor any of the other Transaction Documents nor any activity undertaken pursuant hereto or thereto shall prevent any Member, Independent Manager or any Affiliates of such Member or Independent Manager from engaging in whatever activities they choose, and any such activities may be undertaken without having or incurring any obligation to offer any interest in such activities to the Company, any Member or any Independent Manager, or require any Member or any Independent Manager to permit the Company or any other Member or Independent Manager or Affiliate thereof to participate in any such activities, and as a material part of the consideration for the execution of this Agreement by each Member and Independent Manager, each Member and Independent Manager hereby waives, relinquishes, and renounces any such right or claim of participation.

1.10

Authorization

. Notwithstanding any other provision in this Agreement, including

Section 5

, the Managing Member, on behalf of the Company, is hereby authorized to cause the Company to execute and deliver, and perform its obligations under, the Transaction Documents to which the Company is a party, all without any further action, consent, or approval of any other Person.

1.11

Definitions

. Unless otherwise specifically stated, the capitalized terms used in this Agreement shall have the following meanings:

2020;

2020 LLC Agreement

; has the meaning set forth in the Recitals.

2020-3-

2020;

2023 Fiber Contribution Agreements

; means (a) that certain Contribution Agreement, dated as of April 4, 2023, by and among Southwest Supply, AT&T Fiber Leasing (as successor in interest to AT&T Fiber Leasing II) and Southwestern Bell, (b) that certain Contribution Agreement, dated as of April 4, 2023, by and among Southwestern Bell, the Managing Member and AT&T Fiber Leasing (as successor in interest to

AT&T Fiber Leasing II) and (c) that certain Contribution Agreement, dated as of April 4, 2023, by and among the Managing Member, the Company and AT&T Fiber Leasing (as successor in interest to AT&T Fiber Leasing II).

“
2023

Southwestern Bell Fiber License

” has the meaning set forth in the definition of “Southwestern Bell Fiber Agreements”.

“

Acceptable Rating

” means, with respect to any Person, that the outstanding senior, unsecured, non-credit enhanced debt securities of such Person have a public rating of at least two of the following: (i) “BBB-” or higher by S&P; (ii) “BBB-” or higher by Fitch; and (iii) “Baa3” or higher by Moody’s, and the absence of such a rating by any one of S&P, Moody’s and Fitch does not trigger or otherwise result in any requirement that any debt of such Person be secured by any Lien on any assets or property of such Person.

“

Act

” means the Delaware Limited Liability Company Act, 6 Del. Code Ann. Section 18-101, et seq.

(or any corresponding provisions of succeeding law).

“

Adjusted Capital Account

” means, with respect to any Member, the balance in such Member’s Capital Account as of the end of the relevant Allocation Year, after giving effect to the following adjustments:

(a) credit to such Capital Account any amounts which such Member is obligated to restore or is deemed obligated to restore pursuant to the Regulations Section 1.704-1(b)(2)(ii)

(c)

and the penultimate sentences of Regulations Sections 1.704-2(g)(1) and 1.704-2(i)(5); and

(b) debit to such Capital Account the items described in Regulations Sections 1.704-1(b)(2)(ii)

(d)(4)

, 1.704-1(b)(2)(ii)

(d)(5)

and 1.704-1(b)(2)(ii)

(d)(6)

.

The foregoing definition of “Adjusted Capital Account” is intended to comply with the provisions of Regulations Section 1.704-1(b)(2)(ii)

(d)

and shall be interpreted consistently therewith.

“

Adjusted Capital Account Deficit

” means, with respect to any Member, the deficit balance, if any, in such Member’s Adjusted Capital Account as of the end of the relevant Allocation Year.

“

Administrative Agent

” has the meaning set forth in Section 16.1

.

“

Administrative Agent Indemnitee

” has the meaning set forth in

Section 16.8(b)

.

 -4-

“

Affiliate

” means, with respect to any specified Person, (a) any Person directly or indirectly controlling, controlled by, or under common control with such specified Person, or (b) any officer, director, general partner, managing member or manager, trustee of, or Person serving in a similar capacity with respect to, such specified Person. For purposes of this Agreement, unless the context requires otherwise, the terms “control,” “controlling,” “controlled by,” or “under common control with” shall mean the possession, direct or indirect, of the power to direct or cause the direction of the management and policies of a Person or entity, whether through the ownership of voting securities, by contract, or otherwise. For the avoidance of doubt, (x) a Person shall be deemed to control all of its Subsidiaries and (y) a Member shall not be deemed to be an Affiliate of the Company or any other Member, and the Company shall not be deemed to be an Affiliate of any Member, solely as a result of such Member’s ownership of Membership Interests; provided

,

however

, that the Company and its Subsidiaries shall be deemed to be Affiliates of the Managing Member.

“

Agreement

” has the meaning set forth in the Preamble.

“

Allocation Year

” means (a) any twelve (12) month period commencing on January 1 and ending on December 31 or (b) any portion of the period described in clause (a) for which the Company is required to allocate Profits, Losses, and other items of Company income, gain, loss, or deduction pursuant to

Section 3

unless the Company is required by Section 706 of the Code to use a different tax year, in which case “Allocation Year” shall mean such different tax year (or relevant portion thereof).

“

Amendment

” has the meaning set forth in the Recitals.

“

Anti-Corruption Laws

” means, as to any Person, all laws, rules and regulations of any jurisdiction applicable to such Person concerning or relating to bribery, corruption or money laundering.

“

Appointment Period

” has the meaning set forth in

Section 16.6

.

“

AT&T Cash Management System

” means AT&T’s Treasury Interco Payment System, used for processing payments and collections on behalf of the Managing Member and its Affiliates.

“

AT&T Fiber Leasing

” means AT&T Texas Fiber Leasing, LLC, a Delaware limited liability company.

“

AT&T Fiber Leasing II

” means AT&T Texas Fiber Leasing II, LLC, a Delaware limited liability company.

“

Bankruptcy

” means, with respect to any Person, a Voluntary Bankruptcy or an Involuntary Bankruptcy.

 -5-

“

BHC Act

” means the U.S. Bank Holding Company Act of 1956 and any regulations, including Regulation Y of the Board of Governors of the Federal Reserve System, promulgated thereunder and interpretations thereof.

“

BHC Member

” means a Class A Limited Member that (a) is subject to the BHC Act, or is directly or indirectly “controlled” (as that term is defined in the BHC Act) by a company that is subject to the BHC Act and (b) indicates its intent to be treated as a BHC Member in its relevant subscription agreement or otherwise in writing to the Managing Member, provided that any such election shall be irrevocable.

“

Bid

” means an irrevocable offer to purchase in any Class A Mandatory Remarketing all, but not less than all, of the outstanding Class A Limited Membership Interests for cash in immediately available funds at an aggregate price equal to the Unrecovered Capital with respect to such outstanding Class A Limited Membership Interests with the applicable Class A Preferred Return Rate equal to (a) the Bid Rate specified in such irrevocable offer to purchase in connection with any Class A Mandatory Remarketing in which the Managing Member has requested Bids for a fixed Class A Preferred Return Rate or (b)(i) the Bid Rate specified in such irrevocable offer to purchase in connection with any Class A Mandatory Remarketing in which the Managing Member has requested Bids for a floating Class A Preferred Return Rate

plus

(ii) the Remarketing Benchmark Rate.

“

Bid Rate

” means, in connection with any Class A Mandatory Remarketing, a number of basis points submitted in connection with a Bid.

“

Borrowers

” means the borrower entities under the Contributed Notes and set forth in

Schedule B

, as may be amended from time to time pursuant to the terms and conditions of this Agreement and the Contributed Notes.

“

Breakage Costs

” means, with respect to any Class A Limited Member, any amounts required to compensate such Class A Limited Member for any actual losses, costs or expenses that it may actually incur as a result of a transaction described in

Section 13.2

or

Section 15

that results in such Class A Limited Member receiving any payment in cash in respect of any Class A Limited Membership Interest on a day other than, (a) in the case of the initial Class A Reset Period, and any other Class A Reset Period for which the applicable Class A Preferred Return Rate is a fixed rate, a Class A Reset Date, and (b) in the case of any Class A Reset Period for which the applicable Class A

Preferred Return Rate is a floating rate, the last day of a Class A Distribution Period, in each case including any loss (excluding loss of anticipated profits), cost or expense incurred by reason of the liquidation or reemployment of deposits or other funds and the early termination or unwinding of any swap or other hedging arrangement entered into by such Class A Limited Member, as set forth in a certificate of such Class A Limited Member (which certificate shall include the methodology for calculating, and the calculation of, the amount of such actual loss or expense, in reasonable detail based on observable market references).

 -6-

“

Business Day

” means any day that is not a Saturday, a Sunday, or a day on which banking institutions located in New York, New York are authorized or obligated by law to close.

“

Capital Account

” means, with respect to any Member of the Company, the capital account maintained for such Member in accordance with the capital account maintenance rules of Regulations Section 1.704-1(b).

“

Capital Contributions

” means, with respect to any Member of the Company, the amount of cash and the initial Gross Asset Value of any Property (other than cash) contributed to the Company by such Member, as set forth on

Schedule A

hereto, as such

Schedule A

may be updated from time to time in accordance with this Agreement.

“

Capital Lease Obligations

” means, with respect to any Person, the obligations o